Alternative Investments

In recent years, individual investors have gained more and more access to so-called alternative investments. Alternative investments include assets beyond traditional stocks, bonds, and cash. For example, real estate, commodities, and hedge funds might be considered alternative investments. For the most part, you can get exposure to these investments within mutual funds or ETFs. However, you may need to hunt for specialized funds.

Alternative investments can help your portfolio because they behave differently than traditional investments. They're less likely to go up and down at the same time (or in the same direction) as the other investments in your portfolio. As a result, your account balance should not react as wildly to market gyrations as a more traditional account would.

Investing experts disagree on exactly how much alternative investment you should have in your portfolio. A good place to start is with 5 to 10 percent of your portfolio—with that amount diversified among a variety of alternative strategies.